

Generative AI's Act Two: From Technology Hammer to Real Value

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From novelty demos to end-to-end value creation

For venture capital investors and startup founders

Six Decades of Technological Progress Converged to Enable Generative

Moore's Law compute — 6 decades

Internet-scale training data — 4 decades

Mobile + cloud distribution — 2 decades

ChatGPT was the spark, but the tinder was decades in the making: compute, data, and distribution finally matured together

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B startup revenue in months

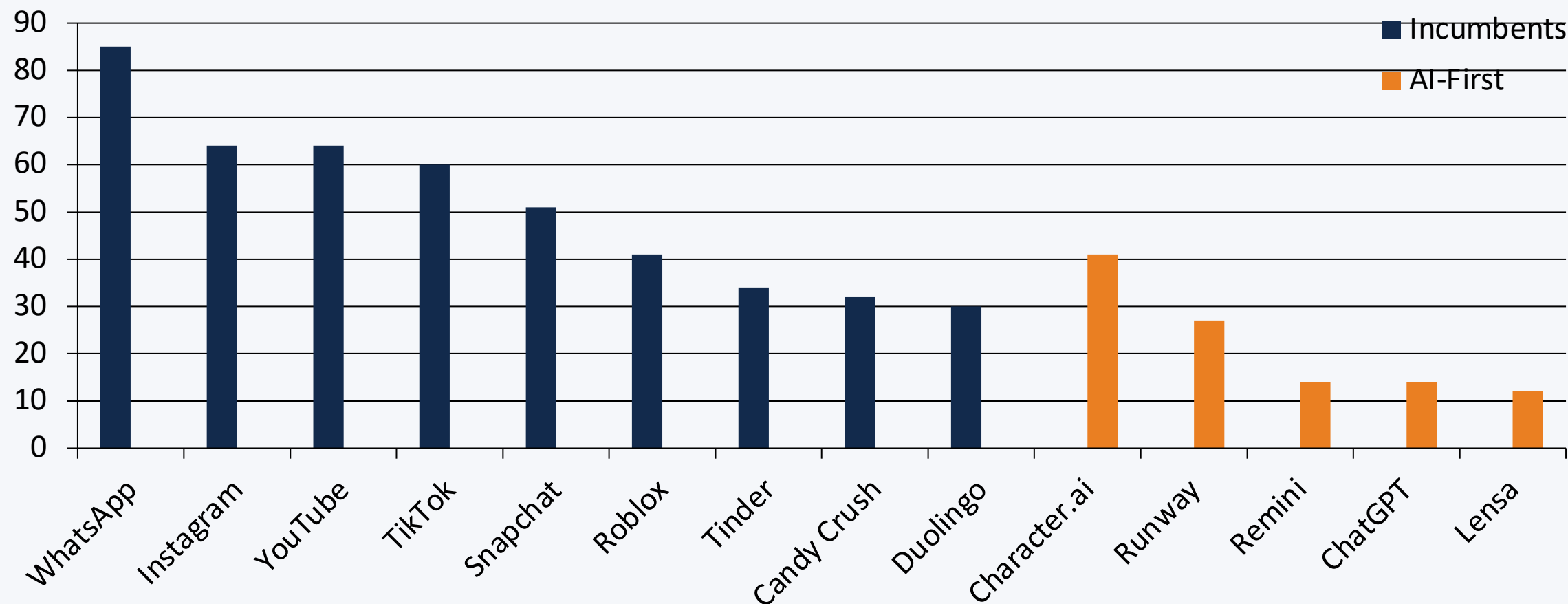
SaaS took years to cross this threshold

ChatGPT: fastest-growing application in history

Midjourney: hundreds of millions in revenue with 11 employees

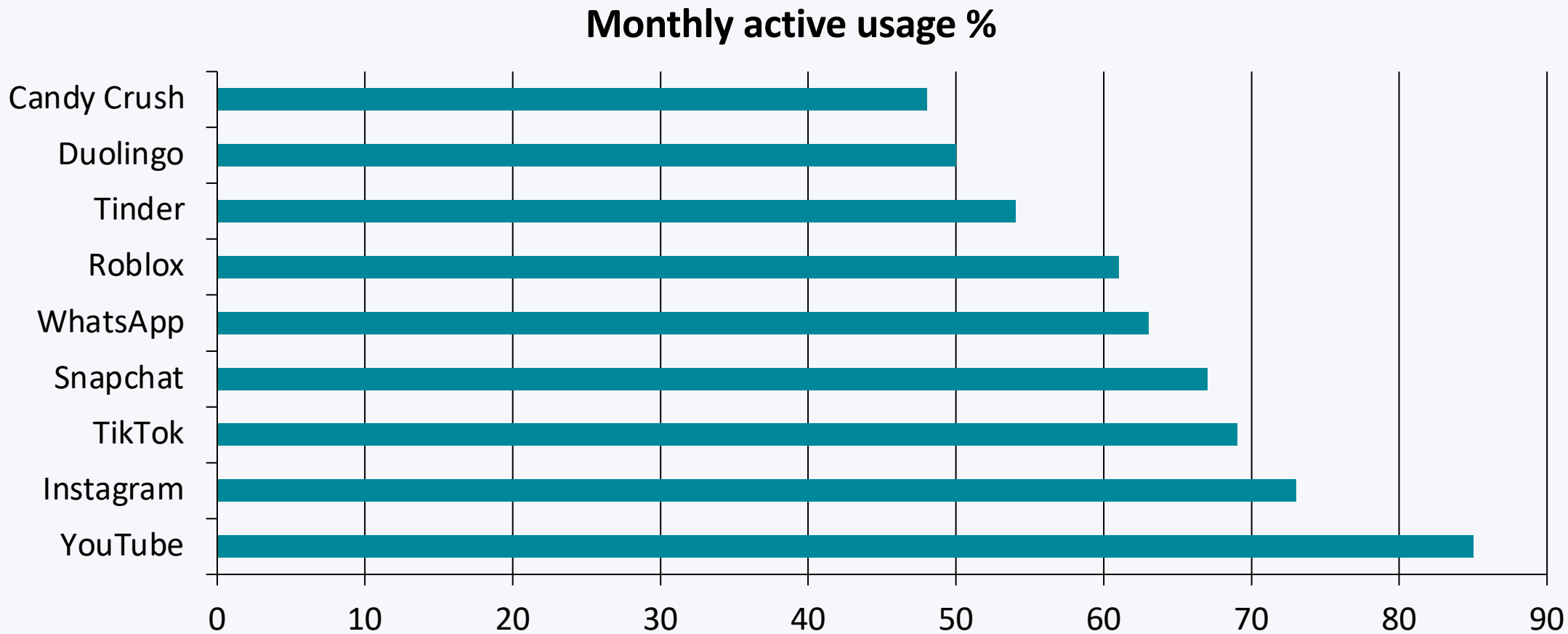
Character.ai: average 2 hours per session

AI-First Apps Show 14% Median Retention vs. 51% for Incumbents



Median retention: Incumbents 51% vs AI-First 14%

YouTube Leads Incumbents at 85% Monthly Active Usage



Incumbent median monthly usage: 63%

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation model = whole solution
- Novelty demos, thin wrappers
- Undifferentiated "AI copilot" pitches
- Weak retention / low stickiness

Act 2: Customer-Back

- Foundation model as one component
- New editing interfaces + workflows
- Often multi-modal by design
- End-to-end human problem solving
- Examples: Harvey, Glean, Character, Ava

Market Map Reorganized by Use Case, Not Model Modality

Then (Act 1)

Organized by model modality:

- Text
- Image
- Code

Now (Act 2)

Organized by use case:

- Legal (Harvey)
- Enterprise search (Glean)
- Companionship (Character, Ava)

Reorganization reflects shift from technology hammer to multi-modal, value-delivering applications.

Key Takeaways: What Separates Winners in Act Two

- Retention is the core challenge: 14% AI-first median vs 51% incumbents.
- \$1B+ startup revenue confirms demand is real, not just hype.
- Foundation models should be components within complete products.
- Multi-modal, workflow-integrated solutions are better positioned.
- End-to-end human problem solving defines Act 2 winners.